



Time: 5 minutes

Outcome: Calculate Gains from Trade, Surplus & Winners/Losers.

Difficulty: ●●● Advanced

Gains from Trade, Surplus & Winners/Losers



THE CORE IDEA

International trade changes consumer and producer surplus and creates net gains when the world price differs from the no-trade equilibrium price. The surplus framework converts distributional changes into a net total-surplus comparison. Trade creates net gains while redistributing surplus between buyers and sellers.



HOW TO RECOGNIZE IT

- Trade creates net gains while redistributing surplus between buyers and sellers.
- The efficiency result is based on the net change in combined surplus, not on every group winning.
- Higher export prices redistribute surplus toward producers while creating a positive net gain in the standard model.
- Aggregate gains do not imply universal gains.

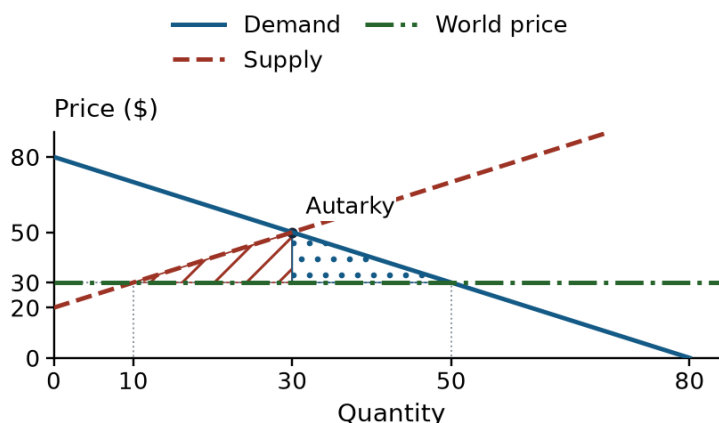


WATCH OUT

Do not assume trade has only winners or only losers. Trade creates net gains while redistributing surplus between buyers and sellers. The efficiency result is based on the net change in combined surplus, not on every group winning.



WORKED EXAMPLE: TRACING TRADE WINNERS AND LOSERS



Without trade, price is \$50 and quantity is 30. At the \$30 world price, domestic production is 10 and consumption is 50, so imports are 40. Each gain-from-trade triangle has height $\$50 - \$30 = \$20$. The production-side base is $30 - 10 = 20$; the consumption-side base is $50 - 30 = 20$. Total gains are $2 \times (1/2 \times 20 \times 20) = \400 .



CHECK YOURSELF

Why do consumers gain when a lower world price opens an import market?



READY?

Return to the game and master this concept.